Valuation Policy

Halvoran Ridge Capital | Version 3.2 | Effective January 2025

1. Objective

Investments are valued at fair value in accordance with US GAAP (ASC 820) and the International Private Equity and Venture Capital (IPEV) Valuation Guidelines. Valuations are prepared quarterly.

2. Valuation governance

The Valuation Committee is chaired by the CFO, Priya Castellano, and includes the Chief Compliance Officer and one partner not involved in the investments being valued. Deal teams prepare valuations but do not approve them. An independent valuation firm reviews 100% of portfolio companies at year end and at least 30% (by NAV) in each interim quarter.

3. Methodologies

Method	When used	Weighting (typical)
Comparable public company multiples	Primary method for most mature companies	50-70%
Precedent transactions	Where relevant recent M&A is available	15-30%
Discounted cash flow	Infrastructure assets with contracted cash flows	0-100%
Cost / recent transaction	Within 12 months of acquisition	Up to 100%

4. Key controls

- Changes in a company's valuation above 10% quarter on quarter require a written explanation to the Valuation Committee.
- Discounts to public comparables are applied for size and liquidity, typically 10-25%.
- Write-downs are recognised promptly; write-ups require evidence such as a third-party offer or sustained outperformance over two quarters.
- The fund's auditor, a Big Four firm, reviews valuation procedures annually.

5. Disclosure

Limited partners receive company-level valuations, methodology used and key multiples in each quarterly report. Methodology changes are disclosed with an explanation of their impact.

FICTIONAL SAMPLE DOCUMENT created for a demo project. Firm, fund, companies and figures are invented.